

THE OFFICIAL APPROVED BY E PLAYBOOK

# CREDIT 101

*Everything They Never Taught You in School*



YOUR ROADMAP FROM ANY SCORE → APPROVED

The complete beginner's guide to understanding, building & mastering your credit

FREE GUIDE

# They taught you algebra. They never taught you **this**.

Most of us made it through 12+ years of school without a single lesson on how credit works. No one explained what a credit score actually means, why it matters, or how to take control of it.

That gap in education costs everyday people thousands of dollars every year — in higher interest rates, missed housing opportunities, and unnecessary stress.

This guide closes that gap. Whether you are starting from absolute zero, rebuilding after a setback, or simply want to finally understand the system — **Credit 101** breaks it all down in plain, honest English.

No confusing jargon. No scare tactics. No upsells. Just the knowledge you deserve to have.

— *The Approved by E Team*

APPROVEDBYE.COM

**200M+**

Americans have a credit file being  
scored right now

**1 in 5**

credit reports contain a material  
error worth disputing

**\$1,500+**

extra paid per year, on average, with  
poor credit

## ✓ HOW TO USE THIS GUIDE

Read it straight through once — it takes about 25 minutes. Then jump to Chapter 8 and start the 90-Day Action Plan. Every chapter ends with an **E's Quick Win**: one move you can make immediately.

# What you'll learn

**01 What Is Credit & Why Does It Matter?**  
The system that quietly shapes your financial life — and your rent, car, insurance, even job options

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**02 How Credit Scores Are Calculated**  
The five factors, their exact weights, and the two that control 65% of your score

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**03 Reading Your Credit Report**  
How to pull all three reports free and audit them like a professional

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**04 The Most Common Credit Mistakes**  
Six avoidable errors that cause most credit damage in America

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**05 How to Start Building Credit**  
Secured cards, builder loans, authorized users & rent reporting — including RentReporters

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**06 Credit Cards: Friend or Foe?**  
The most misunderstood tool in finance — and the one rule that changes everything

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**07 Loans, Interest & the True Cost of Debt**  
APR, minimum-payment math, and what your score costs you in real dollars

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**08 Your 90-Day Credit Action Plan**  
A week-by-week roadmap that turns everything you learned into results

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 **A PROMISE BEFORE WE START**

Nothing in this guide requires you to pay anyone to “fix” your credit. Every strategy here is something you can do yourself — legally, for free or nearly free. When professional help is worth it, we'll tell you exactly what to look for.

## CHAPTER ONE

# What Is Credit & Why Does It Matter?

*Understanding the system that shapes your financial life*

**Credit** is the ability to borrow money or access goods and services now, with the agreement that you'll pay later. A credit card, a car loan, a mortgage — all credit. But credit is far more than a borrowing tool: it influences nearly every major financial decision of your adult life, and several non-financial ones too.

## WHERE CREDIT SHOWS UP IN REAL LIFE



### Renting a home

Landlords run credit checks before approving applications



### Buying a car

Your score sets your rate — sometimes dramatically



### Getting a mortgage

A higher score can save tens of thousands over the loan



### Phone plans

Carriers check credit before postpaid accounts



### Insurance rates

In most states, credit affects your premiums



### Job screening

Some employers check credit for finance & security roles

## THE TWO TOOLS YOU NEED TO KNOW

### Your Credit Report

A detailed record of every account you've opened — who you borrowed from, how much, whether you paid on time, plus any collections or bankruptcies. **Think of it as your financial resume.**

### Your Credit Score

A three-digit number (300–850) calculated from that report. The report is the essay; the score is the grade. **Higher = more trustworthy to lenders.**

# Same car. Same loan. One number changes everything.

Here's what your credit score is really worth, in dollars. Two buyers finance the same **\$25,000 car over 5 years**:

BUYER A · CREDIT SCORE

**580**

**\$635**/mo

at ~18% APR · \$13,100 total interest

VS

BUYER B · CREDIT SCORE

**750**

**\$460**/mo

at ~4% APR · \$2,600 total interest

Difference over the life of the loan

**\$10,500 — for the exact same car**

## CREDIT IS A TOOL, NOT A TRAP

Good credit isn't about taking on debt — it's about **proving you can manage obligations**, so the financial system charges you less and says yes more often. People with excellent credit often borrow the *least*; they simply demonstrate reliability with the credit they have.

When you understand how the system measures you, you control it — instead of it controlling you. That's exactly what the next chapter shows you.

### ✓ E'S QUICK WIN

Don't know your score? Check it free in under 5 minutes — through your bank's app, Credit Karma, or Experian.

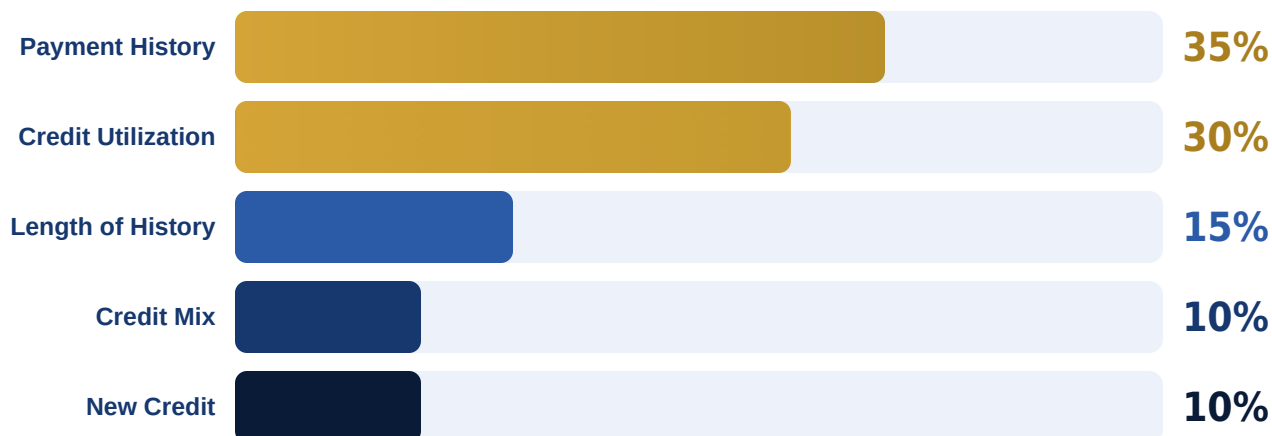
Checking your own credit is a **soft inquiry** and never hurts your score. You can't improve a number you've never seen.

## CHAPTER TWO

# How Credit Scores Are Calculated

*The five factors — and how to use them to your advantage*

Your FICO score — the model used in over 90% of U.S. lending decisions — is built from five weighted factors. Here's the full formula:



## THE BIG TWO CONTROL 65% OF YOUR SCORE

### Payment History — 35%

One 30-day late payment can drop an excellent score by **60–110 points** overnight. The fix is structural: set autopay for at least the minimum on every account, and remove human error from the equation.

### Credit Utilization — 30%

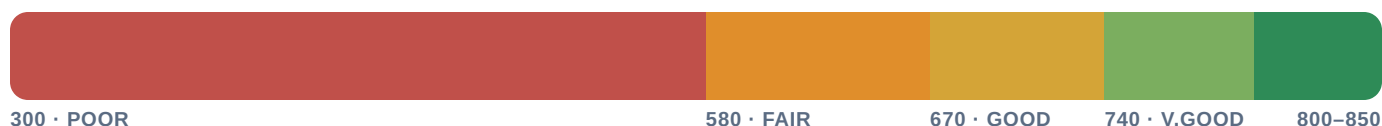
Balance ÷ credit limit. \$700 on a \$1,000 limit = 70% — far too high. Target **under 30%**; under 10% for elite scores. Best part: utilization has **no memory**. Pay down this month, score improves next month.

### ✓ E'S QUICK WIN

Do nothing else from this chapter but this: **every payment on time + every card under 30%**. Those two habits alone take most people from fair to good credit within a year.

# Where do you stand?

Lenders sort every applicant into one of five bands. Here's the full spectrum — and what each band means for you:



## 800-850 EXCEPTIONAL

The best rates and easiest approvals available. Lenders compete for you.

## 740-799 VERY GOOD

Above-average rates and strong approval odds with nearly every lender.

## 670-739 GOOD

Near the U.S. average. Most lenders will work with you at reasonable terms.

## 580-669 FAIR

Approvals come with conditions, deposits, or higher rates. Improvement pays off fast here.

## 300-579 POOR

Approvals are difficult and expensive — but this is also where the fastest gains happen.

### ✓ THE NUMBER THAT MATTERS MOST

**670** is the gateway. Crossing from “fair” into “good” unlocks mainstream rates and most approvals. If you’re below it, that’s your first target — and this guide is your map.

## CHAPTER THREE

# Reading Your Credit Report

*Your financial resume — and how to audit it like a pro*

03

Your report is the raw data your score is built from — and you can get it **free from all three bureaus, weekly**, at **AnnualCreditReport.com**. Pulling it never affects your score. Each bureau collects data independently, and not every creditor reports to all three, so **always review all three**.

**Equifax**  
equifax.com

**Experian**  
experian.com

**TransUnion**  
transunion.com

## THE FIVE SECTIONS OF EVERY REPORT

- ✓ **Personal information** — names, addresses, DOB, SSN, employers. Unfamiliar addresses can signal a mixed file or identity theft.
- ✓ **Account history (trade lines)** — every card and loan: limits, balances, status, and month-by-month payment history.
- ✓ **Public records** — bankruptcies. Chapter 7 reports for 10 years; Chapter 13 for 7.
- ✓ **Collections** — defaulted debts sold to agencies. They report for 7 years from the *original* delinquency date.
- ✓ **Inquiries** — hard pulls stay 2 years but only affect scores for 12 months. Soft pulls (your own checks) never count.

### ⚠ **ERRORS TO HUNT FOR — 1 IN 5 REPORTS HAS ONE**

Accounts that aren't yours · wrong balances or limits · closed accounts shown open · payments wrongly marked late · duplicate accounts · negatives older than 7 years. **Every error you find is a dispute you can win** — bureaus must investigate within 30 days, and what they can't verify, they must delete.

# The Most Common Credit Mistakes

*Six avoidable errors that cause most credit damage in America*

## 1 Paying late — or not at all

35% of your score. One 30-day late can cost 60–110 points.

**Fix:** autopay the minimum on every account, always.

## 2 Maxing out cards

Balances report at statement close — *before* your payment lands. **Fix:** pay down before the closing date, or pay twice a month.

## 3 Closing old cards

You lose that limit (utilization jumps) and shorten your credit age. **Fix:** keep no-fee cards open. An unused card still works for you.

## 4 Applying everywhere at once

Each application is a hard inquiry; clusters of them read as desperation. **Fix:** space applications — especially before a mortgage.

## 5 Never checking your report

~1 in 5 reports has a material error. Errors you never find never get fixed. **Fix:** audit all three reports at least yearly.

## 6 Co-signing blind

You're 100% liable, and their late payments post to *your* report. **Fix:** only co-sign for someone you'd trust with your reputation.

### ⚠ THE SILENT SCORE KILLER: NO CREDIT AT ALL

Lenders can't evaluate what they can't see. With no active accounts reporting, you have **no score** — and many lenders treat "no score" nearly as skeptically as a poor one. You need positive accounts actively reporting. The next chapter shows you exactly how to get them.

### ✅ E'S QUICK WIN

Open your banking app right now and switch every credit account to **autopay ≥ minimum**. Five minutes of setup permanently retires Mistake #1 — the single most damaging item on this page.

# How to Start Building Credit

*Four proven strategies to build a strong foundation from zero*

05

Eighteen and brand new to credit, new to the country, or rebuilding after a rough patch — these four strategies build a legitimate, positive history from scratch. No tricks. No shortcuts. Just what actually works.

## STRATEGY 1 • OPEN A SECURED CREDIT CARD

A refundable deposit (\$200–\$500) becomes your credit limit. The card works exactly like any other and **reports to all three bureaus monthly**. Charge one small recurring expense, pay in full each month, and after 12–18 clean months most issuers upgrade you to unsecured and return your deposit.

**Well-regarded issuers:** Discover it Secured · Capital One Platinum Secured · Chime Credit Builder — low fees, full bureau reporting.

## STRATEGY 2 • OPEN A CREDIT BUILDER LOAN

A loan in reverse: your monthly payments (\$25–\$50 for 12–24 months) go into a locked savings account, and you receive the funds when it's paid off. Every payment reports to the bureaus — you build history and savings **at the same time**. Offered by credit unions, community banks, and services like Self.

## STRATEGY 3 • BECOME AN AUTHORIZED USER

Ask a parent, spouse, or trusted friend with strong credit to add you to one of their cards. **Their entire history on that account — including years of on-time payments — joins your report**. You never need to touch or even receive the card. One of the fastest legitimate boosts available.

### ✓ STACK, DON'T CHOOSE

These strategies aren't either/or. A secured card *plus* a builder loan *plus* authorized-user status gives you multiple positive accounts and a healthy credit mix from day one — turn the page for the fourth strategy and the full blueprint.

## Strategy 4 • Get credit for rent you already pay

Rent is most people's largest monthly payment — yet it never appears on credit reports automatically. Rent reporting services fix that, adding months or even **years of on-time payments** to your file. Powerful if you've rented reliably for a long time.

### E'S PICK

#### RentReporters

[rentreporters.com](https://rentreporters.com)

Reports up to **24 months of past rent history** to TransUnion and Equifax — so years of good payments count retroactively. Customers report average gains of **35–50 points**. One-time setup fee plus a small monthly fee; works with most landlords, including private ones.

#### Rental Kharma

Reports current + past rent to TransUnion. Flexible with private landlords.

#### RentTrack

Reports to all three bureaus; integrates with many property managers.

#### Experian Boost

Free; instantly adds utility, phone & streaming payments to Experian.

## THE APPROVED BY E STARTER BLUEPRINT

### MONTH 1

Open one secured card + start a credit builder loan.

### MONTH 2

Get added as an authorized user on a trusted family member's card.

### MONTH 3

Enroll with **RentReporters** — instantly add up to 2 years of rent history.

### MONTH 12

Review your score — you should be **well above 650** and ready for unsecured products.

# Credit Cards: Friend or Foe?

*The most misunderstood tool in finance — used right, it's powerful*

Credit cards have a reputation for destroying finances. In reality, **the card is never the problem — the behavior is**. Used correctly, a card is the single most effective credit-building tool available.

## HOW CARDS HELP ↑

- ✓ Report to all 3 bureaus **every month**
- ✓ Paying in full = perfect history, **zero interest**
- ✓ High limit + low balance = great utilization
- ✓ Rewards on spending you'd do anyway

## HOW CARDS HURT ↓

- ✗ Carrying balances inflates utilization & costs interest
- ✗ One missed payment = the most damaging mark there is
- ✗ Several new cards at once = clustered hard inquiries
- ✗ Closing old cards shrinks available credit overnight

## THE GOLDEN RULE

**Charge only what you can pay in full when the statement arrives. That's the entire rule — follow it and you pay zero interest, earn the rewards, and build flawless history automatically.**

## CHOOSING YOUR FIRST CARD

Look for: **no (or low) annual fee** · reports to all three bureaus · a path to limit increases after 6–12 months · an upgrade path if you start secured.

### ✓ THE SET-IT-AND-FORGET-IT METHOD

One card. One recurring bill on it (Netflix, gas, a utility). Autopay the full balance. Lock the card in a drawer; check quarterly. **Flawless credit history on autopilot** — nearly zero effort, nearly zero risk.

## CHAPTER SEVEN

# Loans, Interest & the True Cost of Debt

**APR — Annual Percentage Rate** — is the yearly cost of borrowing, as a percentage of the amount borrowed. Your credit score is the single biggest factor in the APR you're offered. This is why credit isn't a vanity number: **it directly prices everything you finance.**

## THE MINIMUM-PAYMENT TRAP

A **\$5,000** card balance at **20% APR**, paying only minimums, can take **20+ years** to clear and cost **\$8,000+ in interest** — on top of the original \$5,000. Minimums are designed to keep you paying, not to get you free.

## YOUR SCORE, PRICED ON A MORTGAGE

\$250,000 home loan · 30-year fixed:

SCORE

**620**

**\$1,922**/mo

~8.5% APR · \$442,000 total interest

VS

SCORE

**760+**

**\$1,580**/mo

~6.5% APR · \$319,000 total interest

Same house. Same loan. Different score.

**\$123,000 difference**

## GOOD DEBT VS. BAD DEBT

### Good debt builds

Mortgages, education with real ROI, business loans — lower rates, creates assets or income. Installment loans also strengthen your **credit mix** (10% of your score).

### Bad debt drains

Carried card balances, payday loans, most buy-now-pay-later. High rates, no asset — money leaving forever.

### ✓ E'S QUICK WIN

Carrying a balance? Pay **anything above the minimum** — even \$25/mo dramatically shortens the payoff curve. Target the highest-APR balance first; that's the one quietly costing you the most.

# Your 90-Day Credit Action Plan

*Stop reading. Start doing. Here is your exact roadmap.*

## WEEKS 1-2

### Audit & dispute

- ✓ Pull all 3 reports free at AnnualCreditReport.com — save each one
- ✓ Flag every inaccuracy · send certified dispute letters to the bureaus
- ✓ Switch every account to autopay — never another late payment

## WEEKS 3-4

### Stabilize

- ✓ Pay down any card above 30% utilization first
- ✓ Enroll in free monitoring · sign up for RentReporters or Experian Boost

## MONTH 2

### Build

- ✓ Follow up on disputes — verify removals, escalate what's unresolved
- ✓ Send goodwill letters for paid accounts with negative marks
- ✓ No positive accounts yet? Open a secured card or builder loan now

## MONTH 3

### Measure & grow

- ✓ Compare your score to Day 1 · request a limit increase on any 6-month-old card
- ✓ Book your next full review for 90 days out — make it a habit

### ✓ REALISTIC TIMELINE

**30–60 days:** utilization gains appear · **3–6 months:** on-time payments + dispute wins move the needle · **12–24 months:** major recovery from most negatives. Consistency is the only formula — and it always works.



You are now

**Credit** **Approved.**

*Take your first action today.*

**WANT HANDS-ON HELP?**

Personalized credit analysis · dispute management · step-by-step coaching  
from people who do this every day.

**approvedbye.com**